AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII

ANNUAL EXAMINATIONS (THEORY) 2024

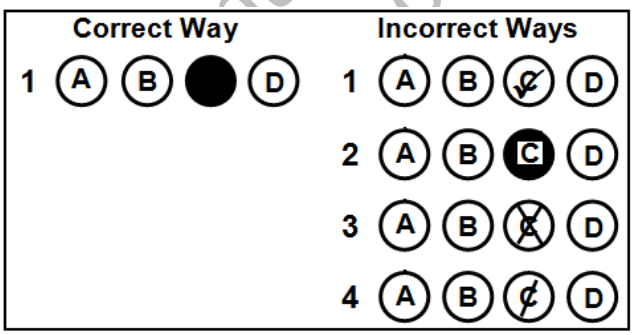
Principles of Accounting Paper I

Time: 1 hour 10 minutes Marks: 40

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 40 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a scientific calculator if you wish
8. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. Following are the details related to a business that does not keep complete accounting records.

Particulars	Amount (Rs)
Capital at the start of year	830,000
Additional investment during the year	130,000
Withdrawals by the owner during the year	200,000
Capital at the end of year	940,000

From the given information, the amount of net profit of the business would be

A. Rs 20,000
B. Rs 40,000
C. Rs 110,000
D. Rs 180,000

2. The following details are related to a small business that maintains incomplete accounting records.

Particulars	Amount (Rs)
Total net assets	1,200,000
Current assets (40% of total assets)	?
Total Liabilities	400,000

The amount of current assets from the given information would be

A. Rs 160,000
B. Rs 320,000
C. Rs 480,000
D. Rs 640,000

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3. The following details are related to a small business that maintains incomplete accounting records.

Particulars	Amount (Rs)
Net assets	1,200,000
Current assets	640,000
Long term liabilities	400,000

The information related to cash is also provided as under:

Account Title	Amount (Rs)
Cash as on January 01, 2023	200,000
Cash receipts during the year ended December 31, 2023	250,000
Cash paid during the year ended December 31, 2023	300,000

From the given information, the amount of current assets other than the cash would be

A. Rs 150,000
B. Rs 250,000
C. Rs 490,000
D. Rs 790,000

4. Ameen Traders maintains its records on single entry accounting basis. The business is suffering from a net loss of Rs 15,000.

If the opening and the ending capital of the business is the same, then the POSSIBLE reason for the net loss in this given scenario could be a/ an

A. increase in drawings.
B. decrease in drawings.
C. increase in investment.
D. decrease in investment.

5. In general, the difference between selling price and cost price is

A. net profit.
B. gross profit.
C. operating profit.
D. mark up profit.

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6. Following information has been taken from the books of a business that does not maintain complete books of accounts:

Account Title	Amount (Rs)
Purchases	378,000
Purchase return	18,000
Carriage in	4,000
Opening inventory	134,000
Closing inventory	138,000

The business follows 25% gross margin policy.

If the gross profit of the company is Rs 120,000, then the sales revenue would be

A. Rs 240,000
B. Rs 248,000
C. Rs 480,000
D. Rs 488,000

7. The details related to subscription received by Orient Health Club during the year ended December 31, 2023 is as under:

Account Title	Amount (Rs)
Subscription received against 2022	60,000
Subscription received against 2023	125,000
Subscription received against 2024	30,000

The amount of subscription recorded in the income and expenditure account as 'revenue' and statement of affairs as 'unearned' of the club on December 31, 2023 would be

	Income and Expenditure Account	Statement of Affairs
A	Rs 125,000	Rs 30,000
B	Rs 125,000	Rs 90,000
C	Rs 185,000	Rs 30,000
D	Rs 185,000	Rs 90,000

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8. The accountant of a football club recorded the purchase of a new fitness equipment in the income and expenditure account instead of statement of affairs of the club.

   The given error's impact will be

	Assets	Expenses
A	understated	understated
B	overstated	overstated
C	overstated	understated
D	understated	overstated

Use the given information to answer Q.9 and Q.10.

The following is the summary of receipt and payment account of Aliana Club for the month of January 2020.

Receipts		Payments	
Subscription	40,000	Purchase of refreshment	16,000
Sales of refreshment	28,000	General expenses	4,500
Loan from bank	15,000	Utility bills	6,000
		Wages	7,300
		Rent	3,400

Additional information:

- 8% Interest on loan is due
- general expense of Rs 2,000 is accrued
- prepaid wages amounted to Rs 1,800

9. While preparing the income and expenditure account, the total expenditure of Aliana Club would be

   A. Rs 37,200
   B. Rs 37,400
   C. Rs 38,600
   D. Rs 39,800

10. While preparing the income and expenditure account, the total income of Aliana Club would be

   A. Rs 22,600
   B. Rs 24,400
   C. Rs 38,600
   D. Rs 68,000

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11. Kifayat Trust, for the purpose of extending the premises, bought a piece of land on credit for Rs 900,000 by paying a downpayment of Rs 400,000. The remaining balance will be paid in two semi-annual instalments.

    The given purchase of land will impact

    A. asset and liability section of the statement of affairs.
    B. only liability section of the statement of affairs.
    C. only assets section of the statement of affairs.
    D. expenditure column of the income and expenditure account.

12. The equation that is used to calculate the amount of accumulated funds is

    A. accumulated funds = total assets – capital funds
    B. accumulated funds = total assets + capital funds
    C. accumulated funds = total assets – total liabilities
    D. accumulated funds = total assets + total liabilities

13. The details related to two businesses are as under:

Particulars	Kaleem Traders	Khalid Associates
Current assets	Rs 40,000	Rs 55,000
Non-current assets	Rs 320,000	Rs 280,000
Current liabilities	Rs 22,000	Rs 15,000
Long term liabilities	Rs 130,000	Rs 105,000

Based on the given information, the net worth of Kaleem Traders and Khalid Associates would be

	Kaleem Traders	Khalid Associates
A	Rs 152,000	Rs 120,000
B	Rs 208,000	Rs 215,000
C	Rs 152,000	Rs 215,000
D	Rs 208,000	Rs 120,000

14. Under fixed capital method of profit and loss distribution, drawings by a partner will be

    A. debited to partner's capital account.
    B. debited to partner's current account.
    C. credited to partner's capital account.
    D. credited to partner's current account.

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15. Mani withdrew cash Rs 24,000 and goods worth Rs 16,000 from the firm.

If the partnership follows fluctuating capital method, then the entry to close drawings made by Mani would be

S. No.	Particulars	P.R.	Debit	Credit
A	Cash		24,000	
	Purchases		16,000	
	Drawings – Mani			40,000
B	Drawings – Mani		40,000	
	Capital account – Mani			40,000
C	Drawings – Mani		40,000	
	Cash			24,000
	Purchases			16,000
D	Capital account – Mani		40,000	
	Drawings – Mani			40,000

16. The following capital accounts of the two partners of K&Y Partnership Firm as on December 31, 2023 are as follows:

Khawar Capital Account

31.10.2023	Drawings	40,000	01.01.2023	Balance b/d	360,000
			01.09.2023	Additional investment	120,000

Yawar Capital Account

01.08.2023	Drawings	90,000	01.01.2023	Balance b/d	500,000
			01.06.2023	Additional investment	140,000

The net profit of K&Y Partnership Firm for the year ended December 31, 2023 amounted to Rs 198,000.

If the income is divided in the ratio of ending capital (under fluctuating capital), then the profit will be distributed between the partners as

	Khawar	Yawar
A	Rs 88,000	Rs 110,000
B	Rs 115,117	Rs 82,883
C	Rs 110,000	Rs 88,000
D	Rs 82,883	Rs 115,117

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17. In partnership accounting, at the time of recording interest on drawings, the amount will be debited to the

    A. interest account.
    B. revaluation account.
    C. partners' capital account.
    D. profit and loss appropriation account.

18. Asif and Baber are in a partnership business. Their capital balances as on December 31, 2023 amounted to Rs 320,000 and Rs 240,000 respectively. On this date, they decided to admit Irfan as a new partner.

    Irfan purchased 2/5th interest of Asif and 1/3rd interest of Baber by paying Rs 120,000 and Rs 90,000 respectively directly to them.

    The journal entry to record the admission of Irfan would be

	Particulars	P.R.	Debit	Credit
A	Asif's capital		128,000	
	Baber's capital		80,000	
	Irfan's capital			208,000
B	Asif's capital		120,000	
	Baber's capital		90,000	
	Irfan's capital			210,000
C	Irfan's capital		208,000	
	Asif's capital			128,000
	Baber's capital			80,000
D	Irfan's capital		210,000	
	Asif's capital			120,000
	Baber's capital			90,000

19. Zainab and Rabeel are equal partners in a firm with a capital of Rs 400,000 and Rs 300,000, respectively; they agreed to admit Ali as a new partner for 1/3rd share in the firm. Ali invested sufficient cash for his share in the partnership firm.

    The total amount of capital of the firm after Ali's admission would be

    A. Rs 350,000
    B. Rs 466,667
    C. Rs 700,000
    D. Rs 1,050,000

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20. Imran, Yousuf and Qadir are partners in a partnership firm having a capital ratio of 5:4:3, respectively. Imran decided to retire by selling 2/3rd of his interest to Yousuf and the remaining to Qadir for Rs 400,000 and Rs 550,000 respectively.

The total capital of the partnership firm before the retirement of Imran was Rs 1,800,000.

After the retirement of Imran, the capital of each partner in the firm would be

	Yousuf	Qadir
A	Rs 600,000	Rs 450,000
B	Rs 1,000,000	Rs 1,000,000
C	Rs 1,100,000	Rs 700,000
D	Rs 1,200,000	Rs 600,000

21. Areej and Ayan are partners in a firm with capital investments of Rs 200,000 and Rs 300,000, respectively.

Both the partners agreed to the following entitlements:

	Areej	Ayan
Annual salary	Rs 60,000	Rs 90,000
Interest on capital	6%	4%
Profit/ loss sharing ratio	60%	40%

The undistributed profit for the year amounted to Rs 300,000.

The amount that will be received by Ayan against the profit/ loss sharing ratio would be

A. Rs 50,400
B. Rs 62,400
C. Rs 152,400
D. Rs 452,400

22. Laiba and Sohaila are partners in a firm. They decided to revalue their accounts before admitting Taiba. At the time of revaluation, the firm debited revaluation account by Rs 120,000, whereas it was credited by Rs 80,000.

If Laiba and Sohaila share profit/ loss in the ratio of 2/5th and 3/5th respectively, then the CORRECT option that represents the condition and share of profit/ loss is

	Condition	Share	
		Laiba	Sohaila
A	Profit	Rs 16,000	Rs 24,000
B	Profit	Rs 24,000	Rs 16,000
C	Loss	Rs 16,000	Rs 24,000
D	Loss	Rs 24,000	Rs 16,000

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23. Micheal, Akber and Huzaifa are equal partners in a firm. The statement of the financial position (balance sheet) of the firm is as under:

Statement of Financial Position (Balance Sheet)			
Equipment	580,000	Trade payables (account payables)	75,000
Trade receivables (account receivables)	150,000	Micheal - Capital	380,000
Cash	110,000	Akber - Capital	420,000
Inventory	285,000	Huzaifa- Capital	250,000
	1,125,000		1,125,000

On March 31, 2020, after the agreement with the partners, Huzaifa retired from the firm.

If Huzaifa directly sells 2/5th of her interest to Akber and 3/5th of her interest to Michael at an agreed value of Rs 120,000 and Rs 160,000 respectively, then the amount of the partners' capital after Huzaifa's retirement recorded through general journal entry would be

	Particulars	P.R.	Debit	Credit
A	Akber's capital		100,000	
	Michael's Capital		150,000	
	Huzaifa's capital			250,000
			150,000	
B	Akber's capital		100,000	
	Michael's Capital			250,000
	Huzaifa's capital			
C	Huzaifa's capital		250,000	
	Akber's capital			100,000
	Michael's Capital			150,000
D	Huzaifa's capital		250,000	
	Akber's capital			150,000
	Michael's Capital			100,000

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24. At the time of dissolution of the partnership business, the transfer of funds is first made to the

A. partner who has invested more capital.
B. partner who has invested less capital.
C. trade payables (accounts payable).
D. trade regulatory body.

25. At the time of initial public subscription, Zia and Co. announced the refunding of the excess amount of money received against their shares' applications.

In the given situation, at the time of recording, the account title that will be credited is the

A. share capital.
B. bank account.
C. shares premium.
D. share application.

26. PXT limited offered 18,000 ordinary shares at Rs 13. The par value of the share was Rs 10 each.

If the company received 20,000 share applications, then the general entry for the final allotment of shares would be

	Particulars	P.R.	Debit	Credit
A	Share applications		234,000	
	Share capital			234,000
B	Share applications		200,000	
	Share capital			200,000
C	Share applications		180,000	
	Share discount		54,000	
	Share capital			234,000
D	Share applications		234,000	
	Share premium			54,000
	Share capital			180,000

27. In an income statement of a company, the last item deducted to ascertain final profit is the

A. income tax.
B. cost of sales.
C. ending stock.
D. operating expense.

28. The accounts department of Hunza Limited has observed that there is an increase in the insurance expense of the company.

In the given situation, all of the following will decrease EXCEPT

A. gross profit.
B. profit after tax.
C. operating profit.
D. profit before tax.

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29. Following information is related to the income statement of Al-Hamd Limited for the year ended June 30, 2023:

Account Title	Amount (Rs)
Sales revenue	800,000
Cost of sales	280,000
Other incomes	50,000
Operating expenses	70,000

The financial cost incurred by Al-Hamd Limited is Rs 20,000.

If the tax liability applicable on the company is 35%, then the amount of profit before tax of Al-Hamd Limited would be

A. Rs 312,000
B. Rs 325,000
C. Rs 480,000
D. Rs 500,000

30. The retained earnings of Al-Hamra Limited as on January 01, 2024, amounted to Rs 270,000. The profit for the year 2023 amounted to Rs 150,000. The directors of the company decided the following appropriations at the end of the year 2023:

- Transfer Rs 120,000 to the reserve account
- Paid Rs 800,000 as 10% dividend to the paid up share capital

The amount of retained earnings at the end of the year would be

A. Rs 50,000
B. Rs 70,000
C. Rs 220,000
D. Rs 320,000

31. Alina Limited disposed off a machine at Rs 180,000. At the time of the disposal, the book value of the machine was Rs 170,000.

In the given situation, the machine's disposal will be reflected in the cash flow statement as

	Operating Activity	Investing Activity
A	gain on disposal of Rs 10,000	sale proceed of Rs 180,000
B	sales proceed of Rs 180,000	loss on disposal of Rs 10,000
C	loss on disposal of Rs 10,000	sale proceed of Rs 180,000
D	sales proceed of Rs 180,000	gain on disposal of Rs 10,000

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32. The company sold plant and machinery for Rs 860,000. The cost of the plant and machinery was Rs 1,200,000 and allowance (provision) for depreciation at the time of disposal was Rs 360,000.

The disposal of the plant and machinery will be shown in the statement of cash flows as

	Operating Activity	**Investing Activity**
A	gain of Rs 20,000	sales proceed of Rs 1,200,000
B	gain of Rs 20,000	sales proceed of Rs 860,000
C	sales proceed of Rs 1,200,000	gain of Rs 20,000
D	sales proceed of Rs 860,000	gain of Rs 20,000

33. Galaxy Limited offered 20,000 ordinary shares of par value of Rs 20 each to the general public at a premium of Rs 10 each. The bank informed that applications for 22,000 shares have been received. The directors of the company finalised the allotment and intimated the bank to refund the excess money to the applicants.

The given scenario will be reflected in the statement of financial position (balance sheet) of Galaxy Limited as

	Asset Section	**Equity Section**
A	Bank Rs 660,000	Share capital Rs 440,000 Share premium Rs 220,000
B	Bank Rs 600,000	Share capital Rs 400,000 Share premium Rs 200,000
C	Bank Rs 400,000	Share capital Rs 200,000 Share premium Rs 200,000
D	Bank Rs 440,000	Share capital Rs 220,000 Share premium Rs 220,000

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Use the given information to answer Q.34 and Q.35.

The following details have been taken from the records of Bird View Private Limited for the year ended December 31, 2023:

Account Title	Amount (Rs)
Net profit before interest and tax	248,000
Depreciation for the year	12,000
Net increase in current assets	200,000
Net increase in current liabilities	148,000
Purchase of machinery	180,000
Sale proceed of machinery sold	60,000

34. The net amount of cash flow from investing activities is

    A. Rs (240,000)
    B. Rs (120,000)
    C. Rs 120,000
    D. Rs 240,000

35. The net amount of cash flow from operating activities is

    A. Rs 196,000
    B. Rs 208,000
    C. Rs 300,000
    D. Rs 312,000

36. In order to summarise the expenses and revenues of a limited company, the accountant will prepare a/ an

    A. income statement.
    B. cash flow statement.
    C. statement of changes in equity.
    D. statement of financial position (balance sheet).

37. The method of recording inventory under which the inventory is booked at 'lower of cost or net realisable value' is based on

    A. matching.
    B. prudence.
    C. realisation.
    D. historical cost.

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38. If a business follows perpetual method, then the goods bought will be termed as

A. sales.
B. purchases.
C. merchandise.
D. supplies in hand.

39. The value of ending inventory has been mistakenly over-casted by Rs 13,000 in the books of accounts.

The given error will overstate all of the following EXCEPT

A. net profit.
B. gross profit.
C. current assets.
D. cost of sales (cost of goods sold).

40. The details related to the inventory of Shine Industries for the month of January 2024 is as under:

Date	Description	Rate	Units	Amount (Rs)
01.01.2024	Balance	12	380	4,560
10.01.2024	Purchases	13	550	7,150
20.01.2024	Sales	18	430	7,740
31.01.2024	Purchases	13.5	200	2,700

If Shine Industries follows the periodic inventory system, then the cost of ending inventory by the first in first out (FIFO) method would be

A. Rs 6,670
B. Rs 9,200
C. Rs 17,590
D. Rs 22,150

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